

The Four Biases

These four appear in every lab from Module 9 onward. Run this check before you trust any result.

1

Look-ahead bias *"using tomorrow's newspaper"*

Using information that was not available at decision time.

| Always ask: on the morning of the decision, was this number actually knowable?

2

Survivorship bias *"interviewing only the winners"*

Failed, delisted and merged entities silently dropped from history.

| Always ask: who is missing from this dataset, and did they leave at random?

3

Point-in-time bias *"history, quietly rewritten"*

Using restated or revised figures as if they were the original print.

| Always ask: is this the number as originally reported, or as later corrected?

4

Regime change *"fitting through an earthquake"*

Fitting one model across a structural break as though the world never changed.

| Always ask: did the world change somewhere inside my data's timespan?

Your own company_financials.csv has the point-in-time trap planted: MoneyMart's FY20-21 revenue was first reported as Rs 3,511 cr and later restated to Rs 3,366 cr.